Quality of Earnings Checklist

8-Section M&A Due Diligence Guide

Use this checklist to run a complete Quality of Earnings analysis on a lower middle market acquisition. Each section mirrors the online guide at shepi.ai.

1. Data Request

Collect 3 years + TTM. Missing data is the #1 cause of QoE delays.

- ☐ Trial balances — 3 years plus TTM (monthly preferred)
- ☐ General ledger — full detail for the same periods
- ☐ Bank statements — all operating accounts for proof of cash
- ☐ AR aging — current and 12-month historical snapshots
- ☐ AP aging — current and 12-month historical snapshots
- ☐ Payroll register — for owner comp normalization
- ☐ Customer revenue detail — for concentration analysis
- ☐ Vendor spend detail — for related-party identification
- ☐ Tax returns — 3 years for book-to-tax reconciliation
- ☐ Loan agreements & lease schedules
- ☐ Capex history — to normalize maintenance vs growth

2. Revenue Quality

Test whether revenue is recurring, properly recognized, and well-diversified.

- ☐ Recognition policy review — earned vs billed vs collected
- ☐ Recurring vs non-recurring classification per stream
- ☐ Customer concentration: top 10 % of revenue, 3-year trend
- ☐ Pricing vs volume decomposition of growth
- ☐ AR aging buckets and collectability of >90 day balances
- ☐ Channel & geography mix shifts

3. EBITDA Adjustments

Standard add-back categories. Owner comp normalization is usually the largest line.

- ☐ Owner compensation normalization (above/below market)
- ☐ Personal expenses run through the business
- ☐ Non-recurring revenue (one-time projects, COVID grants)
- ☐ Non-recurring expenses (legal settlements, restructuring)
- ☐ Related-party transactions at non-market terms
- ☐ Run-rate adjustments for new contracts and lost customers

- [ ] Accounting cleanup (out-of-period entries, accruals)
- [ ] Stock-based compensation
- [ ] Rent normalization (owner-occupied real estate)

4. Working Capital

Drives the dollar-for-dollar purchase price adjustment at close.

- [ ] Trailing 12-month monthly NWC schedule
- [ ] DSO, DPO, DIO turnover trends
- [ ] Seasonality identification and normalization
- [ ] Peg calculation for the purchase agreement
- [ ] Treatment of cash, debt-like items, deferred revenue

5. Proof of Cash

Where commingled expenses and unrecorded liabilities surface.

- [ ] Reconcile total bank deposits to GL revenue + other receipts
- [ ] Reconcile total disbursements to GL expenses + other payments
- [ ] Identify unrecorded liabilities (checks not yet posted)
- [ ] Identify commingled personal expenses
- [ ] Verify intercompany / related-party transfer treatment
- [ ] Confirm period-end cut-off accuracy

6. General Ledger Review

Run each test across 100% of GL transactions, not a sample.

- [ ] Round-dollar transactions
- [ ] Period-end clustering of entries
- [ ] Duplicate detection (vendor + amount + date)
- [ ] Unusual manual entries to revenue, COGS, accruals
- [ ] Transactions over materiality threshold
- [ ] Account-level activity drift year-over-year

7. Risk Flags

Qualitative findings that drive R&W insurance, escrow, and indemnity terms.

- [ ] Customer concentration over 20% of revenue
- [ ] Vendor concentration creating supply risk
- [ ] Key person / employee dependency
- [ ] Recent loss of major customer or contract
- [ ] Outstanding litigation or regulatory issues

- [ ] Tax exposure (sales tax nexus, payroll tax)
- [ ] Going-concern indicators
- [ ] Quality of accounting controls

8. Final Deliverables

What the lender, buyer, and IC actually read.

- [ ] QoE report (PDF, lender-ready)
- [ ] Adjusted EBITDA bridge (Excel)
- [ ] Working capital schedule (Excel)
- [ ] Proof of cash reconciliation (Excel)
- [ ] Customer concentration analysis
- [ ] Flagged transactions with audit trail
- [ ] Full Excel workbook for buyer/lender review